

| THE BT INTERVIEW |

digital; the agreement with the customer is a digital e-agreement; the debit instruction mandate to your bank account, that was post-dated cheques earlier, is now digital. After the loan is booked, monitoring was physical, now it is digital. For collections, earlier, someone would need to come to your place or somebody would call you. Now, you send a link and the customer pays you on a UPI link. So every part of the process is digital.

When you click to the government's point of view, Aadhaar is a massive biometric... DigiLocker is a big part of the Digital India infrastructure; broadband connectivity to 550,000 panchayats of the villages, etc.—BharatNet—that's a big achievement. This whole ecosystem coming together and the government getting involved in making digital infrastructure is a key point. RBI [the Reserve Bank of India] getting involved in innovation is a key point. The government is actively creating all this—this I feel is a very big deal.

Q: The MSME sector is another engine of growth. But MSMEs face a lot of challenges. How does a bank like yours view that?

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Q: Do you see these problems being overcome as more and more banks get into this space?

A: It is already [being] overcome because you can see the cash flow. You [MSMEs] don't need to give income tax returns and [banks] can give instant financing... our bank, for example, is focussing heavily on three things what are known as RAM: retail, agri and MSMEs. [When] our company started in 2010, the loan book was under ₹100 crore retail; then on the NBFC platform, it grew to about ₹35,000 crore in eight years. Now it has become ₹1.40 lakh crore. So ₹100 crore to ₹1.4 lakh crore in about 13 years. So, we love this business... [and] we will continue to build the book.

Q: Retail is being seen as one of the key engines for India's growth story, but it also



“Good quality, global scale corporations are getting created [now], which is a very big thing because India was a bunch of small scale industries [earlier]”

comes with risks. How do you see this?

A: When you're in the lending business, you have to be very, very, very conscious of risk... At our bank, we have a 10-step underwriting process, which includes the go/no-go criteria, scorecards, physical verification if the ticket size is more, cash flow evaluation, identity checks, fraud checks, [etc.]... our experience in this business for 13 years... [has been] our gross NPA has always been 2 per cent and net NPA has always been 1 per cent. Of late, gross NPA has been 1.5 per cent and net NPA has been 0.5 per cent.

Q: What is the secret sauce?

A: It's not a secret sauce ... We have to stay on the cutting edge of technology and respect controls, because in this country getting business is no problem... there is a lot of demand, you don't have to chase credit... We have to, in fact, exercise discipline... and, unfortunately, we reject 40-60 per cent of the loans coming to us.